TECHNICAL ROUND · LEARNING BRIEF

Accrue and reverse

Work happens in September. The bill comes in October. The books still need the cost in September. Learn that one idea, then build a small tool that gets it right to the cent. This is a technical round. The accounting is the small part.

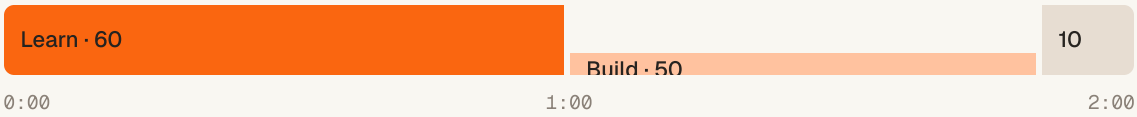
Learn	Build	Call
about 1 hour, on your own	about 1 hour, on your own	1 hour with Abdul

PLAN

Your three hours

On your own

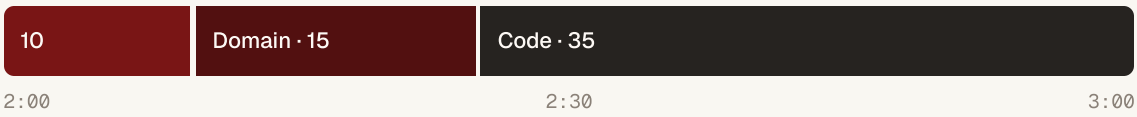
From the moment this arrives



A suggested split. Keep the last 10 minutes to run September end to end in your app.

The call

Zoom, the slot you booked



10 min

You present

What you learned, then a live demo: September's accruals, posted and reversed.

15 min

Domain drill

A few short cases on a shared Excalidraw board. You say how much to accrue and write the entry.

35 min

Code

Your design and code, then a small change made live, without AI.

LEARN · ABOUT 1 HOUR

What to learn

No accounting background needed. By the call, you should be able to do this out loud, without notes. Reasoning well about a few things beats skimming everything.

- ✓ Explain why a cost belongs to the month the work was done, not the month it's billed.
- ✓ Write a balanced journal entry: debits on one side, credits on the other, equal totals.
- ✓ Write an accrual and the entry that reverses it the next day, and say why the reversal is there.

Start here: QuickBooks' guide to accrual accounting and this short video.

Worked example · Brightline Consulting, September

Oct 3	"Your team signed off the September milestone"	30,000.00

In the books: nothing for September yet.

Right — Accrue $30,000 on September 30

Sep 30	Debit	Credit
6000 Vendor Expenses	30,000.00	
2100 Accrued Expenses		30,000.00

On October 1 the same entry runs backwards. When the real bill is booked in October, the two cancel. The cost lands in September only.

Wrong — Wait for the bill

September's costs are $30,000 too low and October's are $30,000 too high.

> **The whole rule:** accrual = September work − September bills already in the books. If that's zero, accrue nothing.

Work out the cost

A fixed fee, or hours times a rate. Take away any September bill already booked.

per vendor

Accrue

Post what's left on September 30: Dr 6000, Cr 2100.

per vendor, Sep 30

Reverse

Post the same entry backwards on October 1, so the real bill doesn't count the cost twice.

per accrual, Oct 1

SEED DATA

September at Tidewell Labs

Tidewell is a small software company. Its accountant, Dana, is closing September. It's October 7 at noon, and nothing has been accrued yet. Four vendors.

Agreements
What each vendor charges. Rates and fixed fees.

Bills
September bills already in the books, with the date each was booked.

Messages
Free text, with the time each one arrived, in US Eastern. One corrects another.

Agreements

Vendor	Terms
Brightline Consulting	$30,000 for each monthly milestone, billed after Tidewell signs it off.
Hale & Ostrow LLP	$450 an hour. Billed around the 20th of the next month.
Mira Okafor	$95 an hour. Bills twice a month.
Copperline Security	$9,500 for a security test. Billed when it's done.

Bills

September bills already in the books. Each was booked on its booked date as Dr 6000 Vendor Expenses, Cr 2000 Accounts Payable.

Bill	Vendor	Covers	Booked	Amount
MO-0915	Mira Okafor	Sep 1 to 15	2026-09-16	4,750.00
CS-4471	Copperline Security	September	2026-09-30	9,500.00

Messages

Times are US Eastern (-04:00).

ID	Received	From	Message
M-1	10-01 17:40	Mira Okafor Mira Okafor (timesheet)	September 1 to 30: 112.0 hours on the scheduling API. Approved by Dana Whitfield.
M-2	10-03 14:20	Brightline Consulting Priya Raman	Hi Dana, your team signed off the September milestone on September 29. We'll invoice the $30,000 mid-October.
M-3	10-05 10:31	Hale & Ostrow LLP Tom Hale	Dana, for September we recorded 38.5 hours on the vendor contract review. Invoice goes out around the 20th as usual.
M-4	10-07 08:50	Hale & Ostrow LLP Tom Hale	Correction to my note on Monday: September was 40.5 hours, not 38.5. Sorry about that.

Accounts

All you need for this round.

Liabilities	2xxx
2000	Accounts Payable
2100	Accrued Expenses

Expenses	6xxx
6000	Vendor Expenses

BUILD · ABOUT 1 HOUR

What to build: September's accruals

Python, FastAPI and SQLite, with any thin front end. The tool proposes; a person approves. What matters is the rules your back end enforces, and whether you can defend them.

Must **Propose**

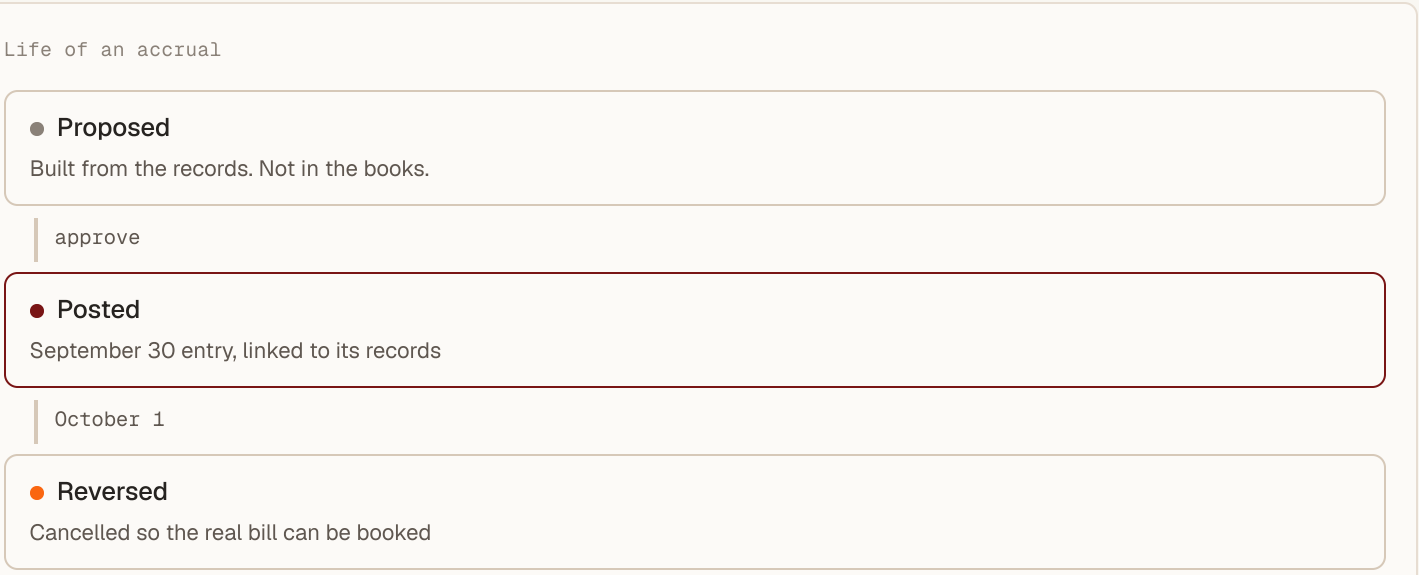
For example `GET /periods/2026-09/accruals`. One row per vendor: accrue, with the amount and the records it came from; no accrual, with the reason; or review, with what's missing. Your code does the math.

Must **Approve and post**

Approving a proposal posts a balanced entry dated September 30 and its reversal dated October 1. Posted entries never change. Approving the same proposal twice posts nothing new.

Must **Trial balance**

Every account's balance on any date, shown as a debit or a credit. Total debits must equal total credits. Show it on September 30 and on October 1. 2100 Accrued Expenses should be back to zero on October 1.



Rejected · never in the books.

Pick one · be ready to discuss the other

Option A

Read the messages with a model

Use Claude or any model to pull facts out of the messages: hours, or a sign-off. Each fact keeps the exact words it came from. Your code checks those words are in the message and does the math. If a check fails, the vendor goes to review. One message corrects another; decide who handles that, the model or your code. You need your own API key for the model.

or

Option B

Run the close as of any time

Every message has the time it arrived. `?as_of=2026-10-03T12:00-04:00` only sees what had arrived by then. New messages come in through an endpoint such as `POST /messages`. The same `as_of` gives the same answer every time, even after newer messages are posted. Show how Hale & Ostrow changes between October 3 and October 7. You can read the hours out of the messages by hand.

Expect questions on storing money · your schema · where "balanced" is enforced · reversals · approving twice · fixing a posted entry · what the model may decide · how you check the model · what "as of" means · a corrected message · your tests

Get September's entries to balance, and 2100 back to zero on October 1, before you polish anything. A small core that ties to the cent beats a wide app that doesn't.

EVALUATION

How you're evaluated

10 min

Teach-back

Clear, accurate, and a demo that works end to end.

15 min

Domain

The right amount and the right entry, with the why.

35 min

Code

You own every line and choice, and the books still tie.

Most of the call is about your code. The drill reuses these four vendors with a small twist.

− Costs points

- ✕ Long silences. If you're thinking, think out loud.
- ✕ An amount you can't trace back to a record.
- ✕ Code or a design choice you can't explain, whoever wrote it.

+ Earns points

- ✓ Saying you're not sure, then reasoning to an answer.
- ✓ Catching your own mistakes.
- ✓ Naming the trade-off behind each choice.

GROUND RULES

Tools and questions

Learn with anything

YouTube, the web, Claude, ChatGPT. Questions any time: `abdul@hyphenate.ai`

Build with AI if you like

You own every line. Commit as you go; we'll walk through your history.

The call is without AI

Close assistants, chat apps and extra tabs before we start. Camera on, whole screen shared.

When the call starts

App running with your data loaded, editor open. Send me a link to your repo before we start.